forgivable loans to small businesses. Chair of the Small Business Committee in the US Senate, Marco Rubio, observed, 'I would never vote to support the payroll of small business in normal times. I believe in free enterprise, it's the best way to generate growth. But the purpose of the economy is to serve people, not people to serve the economy.'[1] Japan gave out $900 cash in hand to all citizens as well. In a number of European countries, the governments had resorted to extensive loan guarantees to help keep businesses afloat. But ultimately, this was money which would have to be paid back. It is imperative to note that a number of European countries already have strong social programmes in place. European countries decided to pay companies so that they could continue to keep people on their payroll piggybacking on the theory that the employer–employee relationship must not suffer. The US, on the contrary, was offering increased unemployment benefits to those laid off.

The cornerstone of framing economic policies for governments world over still remains an amalgamation of theories propagated by two magnetic and influential economists of the twentieth century—John Maynard Keynes and Friedrich von Hayek. Keynes's work *The General Theory of Employment, Interest and Money* (published in 1936) defines the role of the government in capitalist societies leading to increased regulation and the creation of global institutions such as the World Bank and the International Monetary Fund. His theory hugely propagates that in times of crisis, substantial government spending would kick-start consumption and cause businesses to expand, thereby reducing unemployment.

In contrast, Hayek's work *The Road to Serfdom* (published in 1944) and, subsequently, his paper titled 'The Use of Knowledge in Society' (published in the September 1945 issue of *The American Economic Review*) theorizes that government control of the economy inevitably crushes individual freedom, leading to tyranny. He argued that central planning can never replace market forces.

If we were to apply these theories to the economic impact due to the COVID-19 crisis in India, Hayek would have argued that trying to return to the status quo, by extreme handholding by the government would block the opportunity to create the economy of the future, leading to long-term stagnation which the fastest-growing, large economy like India's couldn't afford. Keynes, on the other hand, would have proposed vigorous government intervention and spending like cash handouts and putting large